

\$100, you'd make 98%. Returns of 80% and 98% are not all that different.

That's one reason I find shorting very reasonable. If you're willing to let your money ride, you can make far more than 100% without even using margin. Your loss is not unlimited. The only way it becomes unlimited is if you're crazy enough to throw more money away in a losing cause. Yes, short selling has a bad rap.

There is a third negative on short selling that *is* real. After the crash in 1929, the government had to blame somebody. The cause did not rest with the short sellers, but they were a vulnerable target. Attributing the market collapse to the fact that some people sold short, the government decided to make short selling more difficult. That's why they imposed an uptick requirement. That means that if you're going to sell short, you have to sell at a price higher than the previous price for listed stocks. That makes it a little harder to get off the short sale, but it doesn't preclude it.

Additionally, the tax people discriminate against short selling. Even if you hold the short position for more than six months you can never get a long-term capital gain on it. No matter how long you hold the short sale, it will always be considered a shortterm gain or loss. However, the alternative might be worse, such as bear market losses or a bear market without your participating on the downside.

Another plus about short selling is that not many people do it. So you have the field relatively to yourself as opposed to participating on the long side.

I also find that negative research on a company is usually superior to positive research. An extensive study covering several years of market activity disclosed that following buy recommendations of brokerage houses was really no better than choosing at random. In other words, on buy recommendations you could do just as well by throwing darts at the stock market page. Sell recommendations are a different story. About three-quarters of them underperformed the market. That is, they went down more than the market.